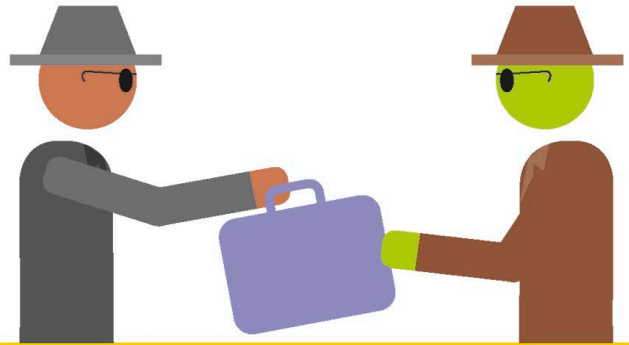


What can they be used for?

People have used cryptocurrencies to buy many things, from a coffee, to a house, and even to reserving a seat on a suborbital space flight. That said, the lack of understanding and the fluctuating value of cryptocurrencies means that many businesses are reluctant to accept them.

▷ Untraceable transaction

Perhaps the most useful thing to use bitcoin for is to pay for things that either the seller or buyer (or both) want to keep untraceable.



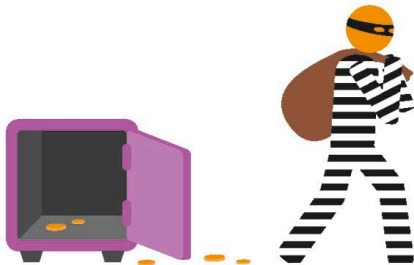
Value

Bitcoins are worth what someone is prepared to offer for them, and for that reason, they fluctuate in value. Cryptocurrencies are still considered to be volatile, which means they are likely to experience big swings in value as they are relatively new and nobody is sure what will happen to them in future.



△ Finite number

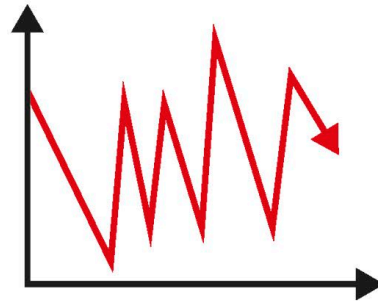
Bitcoin's creators decided that, like a natural resource, there is a finite supply of bitcoin. Only 21 million bitcoins will ever be created – it's expected that the last batch will emerge in 2140. This will potentially increase its value over time.



△ Robberies

Though cryptocurrencies are designed to be anonymous, there has been an increasing number of robberies as they have become more valuable. These cause a drop in confidence of the currency, which results in fewer people wanting them.

“[Bitcoin is] potentially the **greatest social network** of them all”.
Tyler Winklevoss (b. 1981), American entrepreneur



△ Rise and fall

Cryptocurrencies rely on people having confidence in being able to use them. They have no inherent value of their own. When a lot of people feel more confident about them, the value goes up, and it goes down when they don't.

REAL WORLD

Decentralization

Cryptocurrencies are decentralized, which means that no government oversees and regulates them. For a lot of cryptocurrency users, this is a positive thing, as they tend to feel that governmental interference has a negative impact on the value of money. At the same time, because no central power takes care of bitcoin, there is no authority to make sure it runs as planned, and that if a massive crash happens, users will not lose their money.